

Value Recognition Limitation Module (VRLM)

VRLM — Value Recognition Limitation Module

Architecture Ecosystem: Structured Reality Standards™
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Canonical Definition

Value Recognition Limitation Module (VRLM) is the fourth Core Module of the Value Recognition Standard (VRS) within VFM® — Value Flow Mechanisms Architecture.

VRLM governs the explicit boundaries, conditions, exclusions, restrictions, dependencies, uncertainties, temporal limits, beneficiary limits, contextual limits, and prohibited interpretations attached to a Value Recognition Determination.

Its purpose is to prevent legitimate recognition within one defined context from being silently expanded into recognition that the underlying determination does not support.

VRLM does not determine whether value exists.

It does not establish recognition criteria, create the recognition basis, or issue the recognition determination.

Its function begins after a recognition outcome has been established through VRDM — Value Recognition Determination Module.

Its governing function is:

to determine what the recognition determination does not establish, where its legitimate meaning ends, and under what conditions it remains applicable.

The governing relationship is:

Recognition Determination → Recognition Boundary → Recognition Conditions → Recognition Limitations → Bounded Recognition

Architectural Position

VRLM operates within the fourth governed space of the VFM® lifecycle:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

Within the Value Recognition Standard, VRLM follows the recognition determination and precedes the formal recognition record.

Internal Module Flow

Existing Value → VRCM — Value Recognition Criteria → VRBM — Value Recognition Basis → VRDM — Value Recognition Determination → VRLM — Value Recognition Limitation → VRRM — Value Recognition Record → Bounded and Recorded Recognized Value

The internal logic is:

What must be satisfied → what supports the assessment → what recognition outcome follows → where that recognition applies and stops → how the complete recognition is recorded

VRLM therefore establishes the boundary between:

legitimate recognition

and

unsupported recognition expansion.

Operational Space

VRLM governs limitations affecting the legitimate interpretation and downstream use of recognition.

These may include:

recognition-context limitations; beneficiary limitations; purpose limitations; value-dimension limitations; object limitations; capability limitations; geographic limitations; temporal limitations; operational limitations; technological limitations; dependency limitations; assumption limitations; measurement limitations; evidence limitations; uncertainty limitations; comparability limitations; transfer limitations; institutional limitations; downstream-use limitations; prohibited recognition interpretations.

The objective is not to weaken recognition.

It is to preserve its legitimate meaning.

Recognition Limitation Principle

Every recognition determination exists within a boundary.

If the determination establishes:

“Value X is recognized within Context A for Beneficiary B and Purpose C.”

VRLM prevents that statement from silently becoming:

“Value X is universally recognized for every beneficiary and every purpose.”

Therefore:

Recognition ≠ Unlimited Recognition

and:

Limitation ≠ Non-Recognition

A limitation does not mean that value is not recognized.

For example:

Recognized only for operational efficiency

is still a legitimate recognition determination.

The limitation merely prevents the recognition from being interpreted as:

financial recognition; collateral recognition; accounting recognition; market recognition;

legal recognition; tax recognition; universal recognition.

Therefore:

Bounded Recognition ≠ Weak Recognition

A narrow recognition determination may be extremely strong within its legitimate context.

Context Limitation

Recognition must remain attached to the value context established through the Value Context Standard (VCXS).

A recognition determination made within:

industrial operational efficiency

cannot automatically be transferred into:

financial reporting

or:

taxable economic value.

The underlying value may remain the same.

The recognition context has changed.

A new recognition context may therefore require a new recognition assessment.

Beneficiary Limitation

Value recognized for one beneficiary may not automatically be recognized for another.

For example, a technological system may create substantial value for:

the operator

while creating limited value for:

the customer

and potentially negative value for:

another affected party.

VRLM requires beneficiary boundaries to remain visible where they materially affect recognition.

Therefore:

Purpose Limitation

Recognition may be valid only for a defined purpose.

Examples include:

investment analysis; operational planning; strategic assessment;

resource allocation; infrastructure planning; technological capability assessment; public-policy analysis; cost optimization; mission planning.

Recognition for one purpose does not automatically authorize reliance for another.

Value-Dimension Limitation

The same underlying value may possess several dimensions.

For example:

Operational Value Strategic Value Technological Value Financial Value Resource Value Public Value Resilience Value

VRLM ensures that recognition of one dimension does not silently establish recognition of all dimensions.

Therefore:

Recognized Operational Value $\neq$ Recognized Financial Value

unless a separate governed basis establishes that relationship.

Object and Capability Limitation

Recognition may apply only to a defined object, configuration, capability, version, system, facility, process, technology, resource, or organizational unit.

Recognition attached to:

Technology Configuration V4

must not automatically be transferred to:

Technology Configuration V7

where material changes affect the recognition basis.

Similarly, recognition of one capability within a system does not automatically recognize every capability of the system.

Temporal Limitation

Recognition is not automatically permanent.

A recognition determination may remain legitimate only:

during a defined period; while specific conditions remain satisfied; while the capability remains operational; while the beneficiary relationship exists; while the recognition basis remains current; until material change occurs; until a defined review date; while external conditions remain materially equivalent.

VRLM therefore allows recognition to carry:

Temporal Applicability

rather than assuming perpetual recognition.

Geographic and Jurisdictional Limitation

Recognition may depend upon geography or institutional environment.

A value recognized within:

Region A

may not automatically satisfy the recognition requirements of:

Region B.

Similarly, an institutional recognition determination in one jurisdiction does not automatically create equivalent legal, accounting, regulatory, or tax recognition elsewhere.

VRML preserves this distinction without attempting to govern those external systems.

Operational Limitation

Recognition may depend upon specific operating conditions.

For example, an optimization system may create recognized value only where:

production exceeds a certain scale; specific infrastructure exists; particular resources are constrained; required data is available; defined process conditions exist; system integration remains functional.

Outside those conditions, the recognition basis may weaken or disappear.

Dependency Limitation

Recognized value may depend upon another capability, system, resource, infrastructure, relationship, right, dataset, workforce, technology, or condition.

VRML requires material dependencies to remain visible.

For example:

AI capability value

may depend upon:

access to proprietary operational data.

If access disappears, the recognized value may require reassessment.

Therefore:

Recognized Value + Critical Dependency $\neq$ Independently Sustainable Value

Assumption Limitation

Some recognition determinations rely upon assumptions.

These may concern:

future demand; resource availability; technological continuity; user behavior; cost structures; operational conditions; market conditions; expected utilization; policy continuity.

VRLM requires material assumptions to remain attached to the recognition determination where recognition would materially change if the assumptions fail.

Measurement Limitation

A recognition determination may rely upon measured effects whose measurement itself is bounded.

For example:

18% operating-cost reduction

may apply only to:

one facility; one production period; one product line; one baseline; one operating configuration.

VRLM prevents that measurement from silently becoming evidence of:

18% enterprise-wide permanent cost reduction.

Uncertainty Limitation

Recognition can remain legitimate even where uncertainty exists.

VRLM therefore does not require uncertainty to eliminate recognition.

Instead, it requires material uncertainty to constrain the interpretation of recognition where necessary.

For example:

Strategic Value → Recognized

may coexist with:

Magnitude uncertain

or:

Future persistence uncertain.

This preserves useful recognition without manufacturing false certainty.

Transfer Limitation

A recognition determination may not automatically transfer when value moves between:

entities; beneficiaries; systems; organizations; environments; jurisdictions; technologies; ownership structures; operating contexts.

Transfer of the underlying object does not necessarily transfer the same recognition relationship.

Therefore:

Value Transfer ≠ Recognition Transfer

A new recognition context may require reassessment.

Institutional Limitation

One institution's recognition does not automatically bind another institution.

For example:

Company Recognition

does not automatically establish:

Bank Recognition

which does not automatically establish:

Accounting Recognition

which does not automatically establish:

Tax Recognition

which does not automatically establish:

Regulatory Recognition.

These systems may rely upon different criteria and purposes.

VRML preserves those institutional boundaries.

Recognition Limitation ≠ Legal Restriction

VRML uses the term limitation methodologically.

A Value Recognition Limitation is not automatically:

a legal prohibition; regulatory restriction; contractual restriction; ownership restriction; tax limitation.

It defines the boundary of the VFM® recognition determination.

External legal consequences must be established through the relevant system.

Recognition Limitation ≠ Value Limitation

VRML limits the meaning of the recognition determination, not necessarily the underlying value.

This distinction is fundamental.

For example:

Recognition limited to operational use

does not establish:

the value itself exists only operationally.

Other recognition contexts may later identify additional dimensions of the same value.

Therefore:

Recognition Boundary ≠ Value Boundary

Unsupported Recognition Expansion

VRML identifies Unsupported Recognition Expansion where recognition is extended beyond its governed basis.

Examples include:

Operational Value Recognized → presented as Financial Value Established

Strategic Capability Recognized → presented as Market Price Established

Cost Avoidance Recognized → presented as Revenue Generated

Public Value Recognized → presented as Taxable Value Established

Technological Value Recognized → presented as Collateral Eligibility Established

Future Capability Recognized → presented as Realized Economic Benefit

These transformations may eventually be legitimate.

But they require their own governed basis.

They cannot be assumed.

Recognition Boundary Statement

VRLM may produce an explicit Recognition Boundary Statement.

A minimum structure may identify:

Recognized Value → Recognition Context → Recognized Dimension → Beneficiary → Purpose → Applicable Conditions

→ Material Dependencies → Temporal Applicability → Exclusions → Unsupported Interpretations

This makes the recognition determination portable without detaching it from its legitimate boundary.

Recognition Limitation States

VRLM may classify recognition limitations using states such as:

1. Unrestricted Within Defined Context

No additional material limitation has been identified beyond the established recognition context.

2. Conditionally Limited

Recognition remains legitimate only while specified conditions remain satisfied.

3. Scope-Limited

Recognition applies only to a defined object, capability, value dimension, beneficiary, purpose, or operational space.

4. Temporally Limited

Recognition applies only within a defined period or until a defined trigger occurs.

5. Dependency-Limited

Recognition materially depends upon another identified capability, resource, relationship, system, or condition.

6. Uncertainty-Limited

Recognition remains legitimate, but material uncertainty constrains its interpretation or downstream use.

7. Transfer-Limited

Recognition cannot automatically be transferred to another context, entity, beneficiary, system, or jurisdiction.

Multiple limitation states may apply simultaneously.

Limitation Combination

A recognition determination may carry several limitations at once.

For example:

Recognized Strategic Value

may be:

Scope-Limited + Dependency-Limited + Temporally Limited + Transfer-Limited

This is not a contradiction.

It is a more precise representation of the recognition relationship.

Limitation Persistence Principle

Material recognition limitations must remain attached to the recognition determination when it is:

recorded; transferred; aggregated; reported; analyzed; reused; exported; consumed by AI; used in another decision process; supplied to another organization.

A limitation that disappears when the recognition result moves downstream no longer functions as a governance control.

Therefore:

Recognition + Detached Limitation = Distorted Recognition

Machine-Readable Recognition Limitation

A machine-readable VRLM implementation may represent:

Recognition Determination ID → Value ID → Recognition Context ID → Beneficiary Reference → Recognized Dimension → Purpose → Limitation Type → Limitation Condition → Dependency Reference → Temporal Boundary → Excluded Interpretation → Transfer Condition → Review Trigger → VRRM Record Interface

This enables AI and automated systems to consume not merely:

“Recognized = Yes”

but:

“Recognized = Yes, within these explicit boundaries.”

Recognition Limitation Review

A limitation may require review when:

the recognition context changes; the beneficiary changes; the purpose changes; a dependency disappears; a dependency becomes stronger; uncertainty decreases; uncertainty increases; new evidence becomes available; operating conditions change;

technology changes; a temporal boundary expires; the underlying value changes.

A review may:

preserve the limitation; narrow it; expand legitimate recognition; remove it; add new limitations; trigger a new recognition determination.

Boundary with VRCM

VRCM — Value Recognition Criteria Module determines the criteria required for recognition.

VRLM does not modify those criteria after determination.

It governs the boundaries attached to the resulting recognition.

Boundary with VRBM

VRBM — Value Recognition Basis Module establishes the basis supporting recognition.

VRLM may use limitations identified in that basis but does not recreate the recognition basis.

Boundary with VRDM

VRDM — Value Recognition Determination Module determines:

whether and how the value is recognized.

VRLM determines:

where that recognition applies, what constrains it, and where its legitimate interpretation ends.

Therefore:

Recognition Determination $\neq$ Recognition Boundary

Boundary with VRRM

VRLM produces the limitations that must accompany the recognition determination.

VRRM — Value Recognition Record Module preserves the complete recognition record.

Therefore:

Recognition Limitation $\rightarrow$ Recognition Record Input

The limitation must not disappear when the recognition is recorded.

Boundary with Value State Standard

VRLM does not determine the broader lifecycle state of the underlying value.

A recognition limitation may change without the underlying value state changing.

Likewise, the value may later develop, degrade, become nullified, or be restored without that lifecycle transition being governed by VRLM.

Boundary with VALIDOS®

VRLM does not determine whether evidence or a recognition claim has been formally validated.

Where validation of a recognition claim is required, VALIDOS® may govern that validation process.

VRLM governs the legitimate boundary of the recognition determination itself.

Boundary with AGA™

VRLM does not determine who is accountable for making, accepting, communicating, or relying upon a recognition determination.

Where accountability is required, AGA™ may govern those relationships.

VRLM governs what the recognition means and where that meaning stops.

Minimum Implementation Framework

A minimum VRLM implementation should establish:

1. Recognition Determination Input

Receive the recognition determination from VRDM.

2. Context Boundary

Identify the recognition context within which the determination applies.

3. Beneficiary and Purpose Boundary

Identify who benefits and for what recognition purpose.

4. Scope Boundary

Define applicable value dimensions, objects, capabilities, systems, configurations, or operating spaces.

5. Condition and Dependency Assessment

Identify conditions and dependencies necessary for recognition to remain legitimate.

6. Temporal Boundary

Determine temporal applicability and relevant expiration or review triggers.

7. Uncertainty and Measurement Limits

Preserve material uncertainty and measurement limitations affecting interpretation.

8. Excluded Interpretations

Identify conclusions that the recognition determination does not establish.

9. Transfer Conditions

Determine whether and how recognition may legitimately transfer into another context.

10. Recognition Limitation Record

Create the governed limitation package for VRRM.

Governance Outputs

VRLM may produce:

Value Recognition Boundary Statement Value Recognition Limitation Record Recognition Context Limitation

Recognition Beneficiary Limitation Recognition Purpose Limitation Recognition Scope Limitation Recognition

Dimension Limitation Recognition Dependency Record Recognition Temporal Limitation Recognition Uncertainty

Limitation Recognition Transfer Limitation Recognition Exclusion Statement Unsupported Recognition Expansion
Record Recognition Review Trigger Bounded Recognition Object

These outputs provide the governed input for VRRM — Value Recognition Record Module.

Use Case 1 — Banking: Preventing Strategic

Value from Becoming Unsupported Collateral

Value

A bank evaluates a technology company.

VRDM determines that the company's proprietary optimization platform has:

Recognized Operational Value

and:

Recognized Strategic Value.

The recognition basis includes measurable productivity improvement, recurring cost avoidance, deployment across multiple facilities, and dependence of critical operations upon the platform.

Without VRLM, that determination could later be simplified into:

“The platform is recognized as valuable.”

and subsequently interpreted as:

“The platform therefore has established collateral value.”

VRLM prevents that jump.

It may establish:

Recognition Context: enterprise assessment Recognized Dimensions: operational and strategic value Beneficiary: operating company Purpose: enterprise capability assessment Limitation: collateral eligibility not determined Limitation: market price not established Limitation: accounting recognition not established Dependency: continued operational integration and access to required data

The bank can therefore use the recognition legitimately without confusing:

recognized enterprise value

with:

bankable collateral value.

This allows broader forms of value to enter banking analysis while preserving the boundaries necessary for financial discipline.

Use Case 2 — Space Mission: Recognized

Resource Value Without False Universalization

A space organization recognizes substantial value from a mission-optimization capability.

VRDM determines:

Mission Resource Efficiency Value → Recognized

because the capability reduces engineering hours, simulation workload, physical testing, mission preparation time, and projected resource consumption.

VRLM then establishes that the recognition applies only to:

defined mission architecture → specified mission configuration → governed comparison baseline → defined simulation and engineering environment → specified resource categories → current mission-planning period

It also records:

fuel reduction is configuration-dependent

engineering-hour savings are baseline-dependent

future missions require reassessment

avoided resource consumption does not automatically constitute financial revenue

The organization therefore preserves the genuine value of resource reduction without transforming it into claims the recognition basis never established.

This is particularly important for mission, scientific, infrastructure, and public-sector environments where significant value may exist outside conventional revenue-based measurement.

Enterprise Application

VRLM enables organizations to use broader concepts of value without allowing those concepts to become methodologically uncontrolled.

This is particularly important for VFM® because the architecture may recognize forms of value that conventional systems treat separately or fail to represent adequately.

These may include:

avoided cost; preserved capability; resource efficiency; strategic optionality; technological capability; resilience; unused productive capacity; public benefit; future-use capability; infrastructure value; knowledge value.

The broader the recognition system becomes, the more important recognition boundaries become.

VRLM provides that control.

It allows organizations to say:

“Yes, this value is recognized.”

while simultaneously stating:

“This is exactly what that recognition means—and exactly what it does not mean.”

Foundational Principles

Recognition is not unlimited recognition.

A limitation does not negate legitimate recognition.

Bounded recognition may be stronger than ambiguous recognition.

Recognition for one beneficiary does not automatically establish recognition for another.

Recognition for one purpose does not automatically authorize another use.

Recognition of one value dimension does not establish recognition of every value dimension.

Recognition boundary is not value boundary.

Value transfer does not automatically transfer recognition.

Institutional recognition does not automatically create universal recognition.

Operational recognition does not automatically create accounting, tax, market, legal, or collateral recognition.

Material recognition limitations must travel with the recognition determination.

A recognition determination becomes distorted when its limitations are removed from it.

Canonical Closing Statement

Value Recognition Limitation Module establishes the boundary-control layer of the Value Recognition Standard by governing the contextual, beneficiary, purpose, dimensional, operational, temporal, dependency, uncertainty, measurement, transfer, institutional, and interpretive limitations attached to a Value Recognition Determination.

Through explicit Recognition Boundary Statements, limitation states, dependency controls, excluded interpretations, temporal applicability, transfer conditions, review triggers, and downstream limitation persistence, VRLM prevents legitimate recognition within one governed context from expanding silently into unsupported financial, accounting, market, legal, tax, collateral, institutional, or universal claims. By separating

the boundary of recognition from the existence and boundary of value itself, VRLM enables VFM® to recognize broad and unconventional forms of value while preserving methodological precision over exactly what each recognition determination establishes, where it applies, under what conditions it remains legitimate, and where its meaning must stop.

Modul5

Governed Links

[→ Value Recognition Standard \(VRS\).](#)

[→ VFM® Architecture Map](#)

[→ Previous: Value Recognition Determination Module \(VRDM\).](#)

[→ Next: Value Recognition Record Module \(VRRM\).](#)

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